CURRENT PILOT BUSINESS PLAN

A measured first center, built to earn the right to expand.

One owned location in Independence, Missouri | 40 children ages 2–5 | 12 months | first-month checkpoint



Futures Friends joins Booker, Lumi, Zuri and Bop to early literacy, movement, nutrition, belonging and family routines. This pilot reuses the website, CRM, ATS, store, characters and learning materials while finishing the secure family and child workflows required for one real center.

Decision posture: This is an itemized cost estimate, not a financeable loan recommendation. Historical $910/month tuition does not cover the modeled recurring cost. Building payment, lender terms, actual liability and past creator compensation are unresolved.

1. The investment case

The pilot is designed to answer operational questions with real families and real cash records before national rollout. Expansion is a Phase 2 decision, not part of this ask.

$423,849.52	$646,074.62	$477,066.02	-$57,738.02
COST ESTIMATE BEFORE FINANCING	YEAR 1 WITH CONTINGENCY	ANNUAL RECURRING	YEAR 2 MARGIN AT $910

Decision item	Current model	What must be verified
Center	Owned Independence, MO; ages 2–5; 40-place ceiling	Licensed capacity, rooms, age mix and open hours
Funding	Cost estimate before financing $423,849.52	Do not call this a loan ask until economics are positive
Building	Owner-specified $140,000 refinance-enabling need	Payoff statement, closing costs, points and new payment
Revenue	Historical $910/month; 96% collection	Signed tuition, discounts, demand and actual collections
Debt	Cash after recurring operations and building payment	Lender offer, coverage, collateral and guarantees

At 40 children on the historical price, annual receipts are $419,328.00 and year-two operating margin is -$57,738.02 before the building payment. The model therefore surfaces a required pricing or cost reset instead of presenting borrowed cash as profit.

2. Staffing and coverage

The roster has two full-time adults. The rest are individually costed part-time shifts, relief, food service and substitutes. The names are a planning roster; they are not twelve simultaneous hires.

Person	Hours/year	Rate	Annual wages	Shift / role
Full-time director	2,080	$24.00	$49,920.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Full-time teacher 1	2,080	$20.00	$41,600.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time teacher 2 — 7am–noon	1,300	$20.00	$26,000.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time teacher 3 — 7am–noon	1,300	$20.00	$26,000.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time teacher 4 — noon–5pm	1,300	$20.00	$26,000.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time teacher 5 — noon–5pm	1,300	$20.00	$26,000.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time teacher 6 — 3pm–5pm	520	$20.00	$10,400.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time teacher 7 — 3pm–5pm	520	$20.00	$10,400.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time break/admin floater	1,040	$20.00	$20,800.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Part-time food worker	1,040	$19.00	$19,760.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Substitute 1	320	$20.00	$6,400.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and
Substitute 2	320	$20.00	$6,400.00	Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and

Total planning wages: $269,680.00. The assumed schedule keeps four adults on the floor, subject to the approved age mix and room rules. If the actual mix requires a fifth adult, the register adds at least 2,500 service hours at $20/hour before relief, taxes and insurance. The food worker does not count while preparing food; the director counts only while assigned to the room.

Employer taxes, workers compensation, optional benefits, background checks, CPR and training are separate line items. No blanket unemployment reserve is hidden in the model.

3. Cash, enrollment and repayment

The first-year cash schedule ramps enrollment from 30 to 40 children. One-time launch spending is weighted toward the first month; the schedule shows when cash is needed rather than treating the full annual total as a monthly payment.

Month	Children	Receipts	Recurring	One-time	Net	Cumulative
1	30	$26,208.00	$38,904.69	$66,133.80	-$78,830.49	-$78,830.49
2	34	$29,702.40	$39,245.01	$36,741.00	-$46,283.61	-$125,114.10
3	36	$31,449.60	$39,415.18	$22,044.60	-$30,010.18	-$155,124.28
4	38	$33,196.80	$39,585.34	$14,696.40	-$21,084.94	-$176,209.22
5	40	$34,944.00	$39,755.50	$7,348.20	-$12,159.70	-$188,368.92
6	40	$34,944.00	$39,755.50	$0.00	-$4,811.50	-$193,180.42
7	40	$34,944.00	$39,755.50	$0.00	-$4,811.50	-$197,991.92
8	40	$34,944.00	$39,755.50	$0.00	-$4,811.50	-$202,803.42
9	40	$34,944.00	$39,755.50	$0.00	-$4,811.50	-$207,614.92
10	40	$34,944.00	$39,755.50	$0.00	-$4,811.50	-$212,426.42
11	40	$34,944.00	$39,755.50	$0.00	-$4,811.50	-$217,237.92
12	40	$34,944.00	$39,755.50	$0.00	-$4,811.50	-$222,049.42

Repayment rule: monthly debt service is considered only after recurring operations and the actual building payment. A 1.25 coverage screen is a planning test, not a lender promise. The present case has no positive debt capacity because the mortgage is unknown and operating margin is negative.

Break-even realized tuition: $1,036.37 per child per month before building/debt. This does not prove a profitable enrollment count; tuition, costs, licensed capacity and demand still require verification.

4. Every priced category

Each row in the digital register carries an item, quantity, rate, formula, bucket, evidence basis and source URL where one exists. Published prices, tax formulas and quote-required allowances remain distinguished.

Category	Annual total	Register evidence
Staff wages	$269,680.00	Itemized rows in CSV / JSON
Platform completion	$57,000.00	Itemized rows in CSV / JSON
Curriculum and clinical review	$38,600.00	Itemized rows in CSV / JSON
Food and nutrition	$37,688.00	Itemized rows in CSV / JSON
Building operations	$32,720.00	Itemized rows in CSV / JSON
Pilot content production	$25,740.00	Itemized rows in CSV / JSON
Platform assurance	$24,000.00	Itemized rows in CSV / JSON
Employer taxes	$23,569.84	Itemized rows in CSV / JSON
Pilot content support	$14,400.00	Itemized rows in CSV / JSON
Insurance	$12,700.00	Itemized rows in CSV / JSON
Administration	$11,400.00	Itemized rows in CSV / JSON
Local marketing	$11,400.00	Itemized rows in CSV / JSON
Platform support	$10,800.00	Itemized rows in CSV / JSON
Staff benefits	$9,945.60	Itemized rows in CSV / JSON
Refinance transaction	$6,400.00	Itemized rows in CSV / JSON
Payments	$5,919.04	Itemized rows in CSV / JSON
Staff insurance	$5,393.60	Itemized rows in CSV / JSON
Staff readiness	$4,620.00	Itemized rows in CSV / JSON
Cleaning and consumables	$4,548.00	Itemized rows in CSV / JSON
Safety and equipment	$4,220.00	Itemized rows in CSV / JSON
Hosting and software	$4,052.20	Itemized rows in CSV / JSON
Classroom and office consumables	$3,199.74	Itemized rows in CSV / JSON
Classroom materials	$2,904.00	Itemized rows in CSV / JSON
Pilot devices	$2,580.00	Itemized rows in CSV / JSON
Store pilot	$550.00	Itemized rows in CSV / JSON

The complete 311-line register is available at Pilot_40_Children_Itemized.csv and the digital cost explorer. The PDF is a decision brief; the register is the audit trail.

5. Platform, curriculum and production

The pilot funds completion and assurance of a bounded product surface: parent and child access, learning records, consent, role isolation, billing, recovery, bilingual review, QR routines and a finite approved character-message library.

Workstream	Allowance	Acceptance evidence
Platform completion	380 hours × $150 = $57,000	Persistent records, role isolation, billing and parent digest
Security and assurance	$24,000	Manual test, retest, private uploads, restore and iPad checks
Support	$10,800	Named owner, response targets and escalation path
Curriculum / clinical review	$38,600	Educator, RN and menu-review evidence
Pilot content	$25,740 + support	Finite cap; accepted-minute yield tracked
Local marketing	$11,400	Tour-to-enrollment and retention measurement

The $3,000 generation allowance is a finite pilot-library cap. It is not a full 12-episode, seven-minute season. National production, bulk family tablets and licensing income are Phase 2 and excluded from this pilot budget.

6. Sensitivity and the economic reset

Price and occupancy must be tested together. These are scenario calculations, not market tuition claims and not signed demand.

Children	Tuition / month	Annual receipts	Operating margin*
30	$910.00	$314,496.00	-$152,360.26
35	$910.00	$366,912.00	-$105,049.13
40	$910.00	$419,328.00	-$57,738.01
30	$1,250.00	$432,000.00	-$35,849.16
35	$1,250.00	$504,000.00	$30,880.47
40	$1,250.00	$576,000.00	$97,610.11
30	$1,300.00	$449,280.00	-$18,715.18
35	$1,300.00	$524,160.00	$50,870.12
40	$1,300.00	$599,040.00	$120,455.42
30	$1,400.00	$483,840.00	$15,552.79
35	$1,400.00	$564,480.00	$90,849.42
40	$1,400.00	$645,120.00	$166,146.04

*Before building payment, investor debt and profit tax. A positive scenario is not a financing commitment. The current historical $910 case remains negative at 40 children. A lender-ready plan needs signed pricing, verified costs and a positive recurring margin with coverage after building payments.

Stress case with no tuition receipts: $825,830.12 before mortgage and financing. This is a planning boundary, not a recommended raise.

7. Gates, evidence and blind spots

Funding should release against evidence. Each gate converts a claim into something an investor can inspect.

Gate	Evidence required before release
Scope	Signed age roster, room capacity, hours, current staff and payroll
Revenue	Signed tuition schedule, discounts, enrollment demand and collection history
Building	$140,000 purpose, lender payoff/payment statement, points and closing terms
Product	Working family/child records, consent, billing, role isolation, private files and restore
Safety	Educator and clinical review, approved content, state-required training and insurance
Security	Independent manual test, retest letter, backup/restore and iPad/browser checks
Economics	Three months actual receipts and costs; positive ongoing cash before debt service
Rights	Creator contracts, deliverables, payments and character/video rights reconciled

Known exclusions and unknowns: mortgage payment, lender fees, past creator fees, actual food/utility/insurance quotes, current tax treatment, signed tuition, state approval/accreditation, national expansion receipts and season production. They are excluded or labeled unknown; they are not silently zero.

8. Source and review notes

This current pilot package is intentionally narrower than the historical expanded plan. It preserves the substantive operating direction while aligning the financial story to one center and the user-approved staffing structure.

Evidence area	Reference
Child-care ratios	Missouri 5 CSR 25-500 rules: https://www.sos.mo.gov/CMSImages/AdRules/csr/current/5csr/5c25-500.pdf
Local wage benchmark	O*NET Missouri preschool teachers: https://www.onetonline.org/link/localwages/25-2011.00?st=MO
Payroll formulas	IRS Publication 15: https://www.irs.gov/publications/p15
Missouri unemployment	Missouri Department of Labor: https://labor.mo.gov/des/employers/tax-rates
Digital cost evidence	https://dvolcore.github.io/futures-friends/investor/Digital/cost-explorer.html
Complete line items	https://dvolcore.github.io/futures-friends/investor/costs/Pilot_40_Children_Itemized.csv

Prepared from the current pilot-budget.json and current pilot business-plan markdown. Amounts are planning estimates until replaced by signed statements, quotes or invoices. This document does not offer securities, guarantee returns or represent lender approval.